Social Security is another source of revenue, and the system will not be disappearing any time soon. All those who are eligible to receive payments will get something, even if the benefits are reduced. Changes in payout amounts and retirement ages will undoubtedly be made for younger people, but not for those already collecting benefits.

If you have living parents who have an estate or other persons who have named you as a beneficiary of an estate, your net worth will increase upon their passing. No one likes to talk about or count on the money he or she will eventually get from an inheritance. Nonetheless, it is a fact that the money will eventually come to you.

All these items plus more are important when forecasting cash flow in retirement. If you need help figuring all this out, it would help to contact a reputable fee-only financial planner. To find a financial planner located in your area, contact the Garrett Planning Network at (866) 260–8400. Two other sources of financial planner referrals are the Financial Planner Association at (800) 322–4237 and the National Association of Personal Financial Advisors at (800) 366–2732. All three organizations have Web sites.

Withdrawal Rates in Retirement

One question asked by most people in preretirement is how much they can safely withdraw from their portfolios without touching the principal. There have been several in-depth studies on this question, and they all point to about a 4 percent withdrawal rate.

However, there are many factors that need to be considered before you limit your rate to 4 percent or less. Several are:

- At what age are you retiring? Younger retirees should probably limit their withdrawal rate to 4 percent or less because they have a long time horizon. Older retirees can afford to have a higher withdrawal rate because their time horizon is shorter.
- How much do you want to leave behind when you are gone? Retirees who want to leave their children or other heirs as much as possible should withdraw less than those who do not wish to leave so much behind.
- How long do you believe you will be an “active” retiree? Everyone eventually slows down as a result of age or health. Spending during the